FROM THE

EDITOR-IN-CHIEF

Rishi Sunak, 42, has already snatched a niche for himself in history books by becoming the youngest British prime minister in 200 years and, of course, the first of Asian origin. But he has to hit the ground running if the judgement of posterity is to be kind. The scenario he faces is grim indeed. The British economy, ravaged as much by Covid and wartime exigencies as the reckless actions of his predecessors—and some of his own—needs immediate remedial action. Inflation, ranging around a 40-year high of 10 per cent, has already made this the worst cost-of-living crisis Britain has faced since Sunak's infancy. Sky-high energy prices, fuelled by the war in Ukraine, accentuate the pain—although a predicted easing-off in the cost of gas, helped along by a likely warmer-than-usual winter, holds out the chance of a partial reprieve. Most of all, British politics and fiscal policymaking are torn between drastically conflicting views on old bogeys like taxes, big government and public spending and a new one in the shape of Brexit and its continuing repercussions. What must Rishi Sunak do? And what *can* he do amid the swirling divisions within his party and the fact that he has only a two-year window before the next general election to get out of the economic quagmire?

Whatever its specifics, the answer would need to marry short-term firefighting with a resolute long-distance vision—and both call for wisdom and cool-headed pragmatism. By all evidence, even if lack of experience goes against him, Sunak has what it takes in terms of political guile and economic savvy. The dramatic ineptness of those who went before him, Boris Johnson and Liz Truss, show off his capabilities in stark contrast. Politically, Sunak demonstrated his nimble-footedness by knowing when to strike against Johnson, the man who had entrusted him with Britain's finances in the first place. As chancellor of the exchequer, his stint ran from February 2020 to July 2022, coinciding precisely with the black swan event that was Covid. An onerous task no one would have envied, Sunak conducted himself well while steering Britain through that dark phase, even if his goals were set on short-term crisis mitigation. He went down the route of offering a massive $450 billion stimulus, funding a costly furlough scheme and business loans that left the exchequer noticeably slimmed. But as the aura of BoJo's premiership started cracking under the weight of scandals, Sunak's shock resignation accelerated its end. But his gambit failed, for a while.



August 15, 1976

Throwing his hat into the ring for the occupancy of 10, Downing Street, he was beaten to the finishing line by Truss, whose cussedly growth-oriented promise of dramatic tax cuts appealed to the Conservative Party libertarians, who preferred to dream outsize dreams even amid runaway inflation. She promised to shake up the old fiscal and monetary policy establishment, calling them peddlers of worn-out "abacus economics". Sunak, more financially literate than Truss, offered a more circumspect vision that found no buyers—and he receded into what seemed to be oblivion. But as Truss acted on her happy-go-lucky radicalism, it brought to a head the inner conflicts raging within Britain's economy. On one side, she lifted the UK's ban on fracking—the controversial energy extraction method had been put on hold in 2019 after tremors were recorded near a site. She scraped through a chaotic vote on the policy in the House of Commons, but charges of "bullying" marred it. More ominously, her massive tax cuts came on the back of nothing: there was nothing to fund it except the prospect of equally enormous borrowing. That spooked the bond markets like an evil augury, and an all-around crash seemed imminent as mortgage rates spiked.

In the end, Sunak may count himself lucky for losing the post-Johnson vote to Truss, who promptly shot herself in the foot. As Shafi Rahman writes for us from London, he is expected to navigate Britain back to fiscal conservatism, for now, restoring a sense of equilibrium to its institutions. He needs to develop an inflation policy that makes the financial community happy, as also the electorate—no easy task. Ironically, the core of the problem started with Brexit, of which he was a champion. It got further aggravated by the shambolic rule of Boris Johnson. Now Sunak is promising to strive for greater coordination with Europe. Pragmatism rather than deep-seated ideology seems to be his hallmark, and it may be what Britain needs. After the alarming picture presented by Johnson's high-living decadence amidst Covid gloom and Truss's neophyte rashness, Sunak could do some urgent darning on the tattered image of the Tories, trailing far behind Labour in all surveys now.

His background goes against him—or, at least, makes his job more difficult. On immigration, his stance is likelier to be governed by his anxiety about not being perceived as too liberal. While subtler in articulation, he is on the same page as other Indian-origin Tories like former home secretary Priti Patel and her voluble Tamil-Goan origin successor, Suella Braverman, the kind who get in and bolt the door behind them. Indeed, Sunak courted some heated comments on his first day as PM by reinstating Suella and emphatically backing the controversial Rwanda Immigration Policy, under which illegal immigrants from anywhere are packed off to that African country. This is one of the major sticking points in the promising Free Trade Agreement with India that aims to double the trade between the two countries by 2030.

He would be vulnerable in another aspect too. Rishi Sunak is rich. As in, seriously rich. His venture capitalist wife, Akshata Murty, is the daughter of Infosys chairman emeritus N.R. Narayana Murthy, whose personal wealth is in the range of $4.5 billion. Together with Akshata, who brings in $715 million via her 0.93 per cent stake in Infy, the couple tots up around $810 million in personal fortune. That's a quarter more than the King of England. Charles III, minus the palaces and jewellery that belong to the British Crown, comes in only at $500 million in personal wealth. Sunak is a near-billionaire—the richest ever British prime minister. Add to that his education at Winchester College, where annual fees presently range beyond £45,000, and his career in Goldman Sachs and other hedge funds, and you see a life wrapped up in elitism. The British press is brutal and quite partisan. He has already been attacked for being out of touch with the woes of the ordinary person and he can expect more of the same.

Because of these twin elements in his biography, every move he makes will be subjected to the harshest scrutiny. Absent all nuance, the plain fact of a man of Indian descent ascending to the highest office in the British government is like a peculiarly modern piece of drama erupting amidst the messy life of nations. Modern, with strong traces of the old fairy-tale romance about a vassal turning into a prince. It scarcely matters that he represents British Indians only in a nominal, symbolic way—Richmond, Yorks, his parliamentary constituency, is a predominantly white, affluent rural swathe with just about 1 per cent Asians. Rishi Sunak now tests himself against both fairy-tale and cold reality. If he fails, he may go down in history as a colourful nightwatchman that the Tories sent to a crumbling pitch in failing light.

(Aroon Purie)